

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

GERMOZAP, LLC, *Claimant*

v.

SHENZHEN FLY INTERNATIONAL LOGISTICS CO., LTD.,
Respondent.

DOCKET NO. 1982(I)

Served: April 26, 2023

BEFORE: Theresa DIKE, *Small Claims Officer.*

INITIAL DECISION¹

I. INTRODUCTION

Claimant Germozap, LLC (“Germozap”) initiated this proceeding by filing a complaint with the Federal Maritime Commission (“FMC” or “Commission”) against Respondent Shenzhen Fly International Logistics Co., Ltd. (“Shenzhen Fly”), alleging that Shenzhen Fly violated 46 U.S.C. § 41102(c) of the Shipping Act and the Commission’s regulations related to ocean transportation intermediaries (“OTIs”) in connection with Respondent’s delivery of Claimant’s cargo from China to the United States. Shenzhen Fly denies the allegations and asserts defenses, including force majeure due to the COVID-19 pandemic.

A. Background and Procedural History

Claimant, a merchant, arranged with Respondent, a non-vessel-operating common carrier (“NVOCC”) located in China through Alibaba Group Holding Limited (“Alibaba”), a Chinese multinational company specializing in e-commerce, retail, internet and technology, to deliver eight shipments, half by air and half by ocean, from China to different locations in the United States. On July 20, 2021, Respondent sent Claimant a quotation of charges for shipping on delivery duty paid (“DDP”)² terms and insurance coverage of the shipments. Claimant paid the quoted charges for the delivery of six of the shipments on July 21, 2021, and on July 29, 2021, paid Respondent to deliver an additional two shipments. The shipments failed to arrive as anticipated, and Claimant subsequently filed an informal complaint against Respondent with the Commission, alleging that Respondent failed to ship the cargo as agreed, in violation of the Shipping Act and Commission regulations. Claimant seeks reparations in the amount of

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

² Under DDP terms, the amount charged covers shipping, customs duty, and insurance.

\$43,968.95,³ comprising the shipping charges it paid as well as an additional \$20,000 Claimant asserts it is owed for loss of sales and “extra ad costs caused by Late Shipments.” Complaint at Page 3, ¶ VI.

On August 24, 2022, the Commission issued a Notice of Filing of Small Claims Complaint and Assignment, instructing Shenzhen Fly to file a response to the complaint by September 19, 2022, and indicate whether it consented to the use of the Commission’s informal procedures at Subpart S for adjudication of the complaint. On October 6, 2022, Shenzhen Fly filed a formal response to the complaint and consented to the use of the informal procedures. On October 11, 2022, the Chief Administrative Law Judge assigned this proceeding to the undersigned for adjudication.

Pursuant to 46 C.F.R. § 502.301(a) and (e) of the Commission’s Rules, which authorize the Small Claims Officer (“SCO”) in a Subpart S proceeding to, if deemed necessary, request additional documents or information from the parties, on October 24, 2022, an order was issued directing the parties to submit any discovery requests that would aid them in establishing their claims and defenses. In response, Respondent resubmitted its answer to the Complaint, while Claimant submitted its discovery requests on November 7, 2022. On November 15, 2022, Respondent submitted responses to Claimant’s discovery requests, to which Claimant submitted an objection on November 21, 2022. On December 5, 2022, an Order to Submit Supplemental Information (“Order for Supplemental Information”) was issued, directing the parties to provide certain information and documents by January 9, 2023, and permitting any party wishing to file a response to the opposing party’s submission to do so by January 23, 2023. Further, because it appeared that the Claim comprised both air and ocean shipments, the order stated: “The parties should note that the **Commission only has jurisdiction to adjudicate disputes arising from shipments that were transported by ocean.**” Order for Supplemental Information at 4 (emphasis in original).

On January 8, 2023, Claimant requested, and was granted a two-week extension of time due to illness to submit the requested information. On January 24, 2023, Claimant requested, and was granted an additional two-week extension of time until February 7, 2023, to allow it to submit information it had subpoenaed from a carrier. Additionally, it was noted that Respondent had failed to file a response to the Order and had not requested an extension of time. Respondent was instructed to immediately file a response. On January 25, 2023, Respondent requested and was granted extension of time until February 7, 2023, to submit its response. Respondent stated that it had been hampered from submitting a timely response due to challenges associated with the Chinese New Year holidays. On February 7, 2023, Respondent submitted its response to the Order for Supplemental Information. On February 8, 2023, Claimant attempted to submit its response, however, due to the voluminous number of records Claimant was attempting to submit, necessitating transfer through a document transfer website, the documents could not be accessed. Moreover, Claimant failed to file responses to the questions posed in the Order for Supplemental Information. Between February 8, 2023, and February 23, 2023, Claimant submitted various objections to Respondent’s responses. On February 27, 2023, Claimant was notified that the documents it submitted could not be accessed and sua sponte granted an extension of time until

³ Claimant subsequently increased the reparations sought to \$44,265.79, plus an unspecified amount in punitive damages in its later filings.

March 13, 2023, to submit documents in a more accessible format. Claimant was also instructed to file the answers requested in the Order for Supplemental Information. Claimant then submitted eight emails containing attachments of documents between February 28, 2023, and March 13, 2023, including responses to the answers requested in the Order. The record is now complete.

The complaint comprises shipments transported by air and by ocean. As discussed in greater detail below, the claims pertaining to Shipments 1, 6, 7, and 8 – which were transported by air - are dismissed for lack of jurisdiction. In addition, it is found that the evidence does not demonstrate that a violation of the Shipping Act occurred. The complaint is thus dismissed, and reparations denied.

B. Argument of the Parties

Claimant includes shipments shipped by air and by ocean. Because, as discussed in greater detail below, the Commission does not have jurisdiction to adjudicate the claims for the cargo shipped by air, only arguments as to the ocean shipments, over which the Commission has jurisdiction, are summarized.

Claimant alleges that despite being aware that it needed the shipments on an expedited basis, Respondent failed to ship the goods as agreed, but instead used alternate, less expensive modes of transportation, with longer delivery times, knowing when it did so that the goods would not arrive by the agreed upon timeframe, and by doing so violating section 41102(c) and the Commission's regulations at 46 C.F.R. §§ 515.31(e) and 515.32(c). Complaint at Pg. 2 ¶ IV. Claimant alleges that Respondent quoted 10-12 working days to deliver the shipment but subsequently "slightly change[d] the promised delivery commitment of 10-12 days to *extract* [and she] did not even notice it [because] this term had never been used previously and [she] had purposely confirmed door-to-door" and thus "did not catch the discrepancy." Claimant Shipment 2 Dispute Details and Exhibit List ("C. S2 Details") pg. 1 at no. 8 and Claimant Shipment 3 Details and Exhibit List ("C. S3 Details") pg. 1 at no. 8. Claimant also alleges that Respondent ignored its repeated inquiries regarding the status of its shipments and refused to provide bills of lading or other types of receipts for the shipments despite repeated requests to do so, claiming that Claimant was not entitled to tracking or location information because the goods were shipped in another shipper's container and when pressed, provided fake and false carrier information and tracking numbers which prevented Claimant from being able to track or confirm the location of its shipments, in violation of §§ 515.32(c), 515.32(d), 515.32(e) and 515.41(b). Complaint at Pg. 2 ¶ IV. In addition, Claimant alleges that Respondent extorted it by requiring an additional \$600, inducing it to pay the fees by lying that two of Claimant's shipments had arrived, when only one of them had arrived, and failed to include proper language on its invoices, in violation of §§ 515.31(b), 515.32(c) and 515.32(d). Complaint at Pgs. 2-3, ¶ IV; Claimant Shipment 4 and 5 Details and Exhibit List ("C. S4 and S5 Details"), pg. 4-5 at nos. 33-34, 41. Further, Claimant alleges that although the parties' agreement required insurance coverage to be provided for the shipments Respondent refused to provide insurance information for the shipments and refused to reimburse Claimant for lost and for "drastically delayed goods" even though it was reimbursed by the underlying carriers, in violation of §§ 515.31(e), 515.31(e)(i), and 515.32(c). Complaint at Pgs. 2-3 ¶ IV.

Claimant initially requested reparations in the amount of \$43,968.95 in its Complaint but later raised the amount to \$44,265.79, comprising \$21,487.79⁴ it paid for shipping fees; \$600 warehouse fees it states that it was forced to pay; \$270 it paid to pick up goods from Respondent's warehouse because Respondent refused to deliver Shipment 4 to Claimant's warehouse from the port; \$300 Claimant states that it paid to pick up goods from Respondent's warehouse because Respondent also refused to deliver Shipment 5 to Claimant's warehouse from the port; \$1,408 for the value of goods shipped by air lost by UPS, for which Claimant could not file an insurance claim because Respondent did not provide documents to file a claim; \$200 in attorney's fees for an attorney hired in China; an additional \$20,000 Claimant describes as "consequential damages" it was forced to pay when it ran out of inventory because the shipments were late and it "lost [its] ranking in the search results with Amazon" and to regain its ranking "had to pay Amazon to show up at the top of the search results in order to create sales. In other words . . . to advertise." Claimant's Response to Order to Submit Supplemental Information ("C. Supp. Resp.") at Pgs. 2-3. In addition, Claimant asks for punitive damages and a cease-and-desist order against Respondent.⁵ Complaint Pg. 4 at ¶ VII; C. Supp. Resp. at 3.

Respondent states that Claimant requested fast ocean delivery by Matson ("fast sea DDP") for two ocean shipments and regular delivery by ocean ("slow sea DDP") for the remaining two ocean shipments. Respondent states that it quoted, and Claimant accepted, a timeframe for pick up within 10-12 working days and delivery within another 7 working days, totaling approximately 21 days to complete delivery of the Fast Sea DDP shipments and delivery in approximately 21 days after sailing for the Slow Sea DDP shipments. Answer at 2, 4. Respondent states that one of the Fast Sea DDP shipments, which was estimated to arrive by August 19th arrived by August 23rd, while the other was expected to arrive on August 22nd, but arrived on August 23rd. Respondent's Response to Order to Submit Supplemental Information ("R. Supp. Resp.") at pg. 4, no. 5. Respondent states that the Slow Sea DDP shipments arrived 8 days earlier than quoted but due to congestion at the port could not be unloaded for another 20 days. Respondent asserts that it had no control over the factors that led to delay at the port and notes that the quotation Claimant received contained a warning that "[f]orce majeure factors are not within the scope of the delivery time commitment" and moreover, that Claimant chose "the slowest and cheapest Sea DDP, WAN or MSK slow sea" which generally takes about 55-65 days to arrive when the port is congested but that "[i]n order to be faster, [it] chose a more expensive and better ZIM[and] in the end, it only took 40 days to reach the [Respondent's] warehouse." Answer at 5. Respondent states that the two shipments that were delivered by Slow Sea DDP arrived on September 8th, the same day they were estimated to arrive. R. Supp. Resp. at pg. 4.

According to Respondent, Claimant changed the agreed delivery address to a new address, resulting in extra operating costs but it nevertheless charged less than the price quoted to

⁴ This is an increase from \$20,769.59, which Claimant listed in the Complaint as its shipping fees.

⁵ Claimant also initially asked for "an oral hearing in or around Los Angeles or online" (Complaint at pg. 4 ¶¶ VII and VIII) but did not pursue this request in its later filings. Claimant does not explain why an oral hearing is necessary. The filings submitted by the parties are sufficient to reach a decision on the merits of the Complaint and the Commission's rules do not make provision for oral hearings in small claims proceedings.

Claimant and in fact delivered the goods to Claimant's warehouse for free, and without canceling the original scheduled delivery. Answer at 5-8; R. Supp. Resp. at pg. 5. Respondent states that its quotation to Claimant "mentions free insurance with purchase," but that "due to a dispute just after the shipment of the goods, the insurance policy was not sent in time when the insurance was purchased at that time, and now we can only find the insurance policy purchased by the company for the entire container when Sea DDP was in progress." R. Supp. Resp. at pg. 2.

C. Evidence of Record

Due to the voluminous number of documents filed in this proceeding, the evidence of record is summarized below for ease of reference.

1. Claimant's Submissions:

Complaint

Germozap's Response to Order to Submit Supplemental Information ("C. Supp. Resp.")

Shipment 2 Dispute Details and Exhibit List ("C. S2 Details")

Shipment 2- Combined Exhibits ("C. S2 Docs.")

Shipment 3 - Dispute Details and Exhibit List ("C. S3 Details")

Shipment 3- Combined Exhibits ("C. S3 Docs.")

Shipment 4 - Dispute Details and Exhibit List ("C. S4 Details")

Shipment 4- Combined Exhibits ("C. S4 Docs.")

Shipment 5 - Dispute Details and Exhibit List ("C. S5 Details")

Shipment 5- Combined Exhibits ("C. S5 Docs.")

2. Respondent's Submissions:

Claim 1982(I) (Answer)

Claim 1982(I)-2023002.08 (Response to Order to Submit Supplemental Information ("R. Supp. Resp."))

Attachment 1: BOL ("R. Supp. Att. 1")

Attachment 2: The UPS and DHL Tracking ("R. Supp. Att. 2")

Attachment 3: Quotation ("R. Supp. Att. 3")

Attachment 4: Insurance ("R. Supp. Att. 4")

Attachment 5: POD ("R. Supp. Att. 5")

Attachment 8: Other Documents ("R. Supp. Att. 8")

II. PERTINENT FACTS ESTABLISHED BY THE RECORD ("PF")

1. Claimant Germozap is a Wyoming LLC engaged in the business of ecommerce, which imports goods from China for sale at marketplaces such as Amazon. Complaint pg. 1 at ¶ I; C. Supp. Resp. at 3.
2. Respondent Shenzhen Fly is a registered NVOCC (Organization No. 028990) with its principal place of business in Shenzhen, Guangdong Province, China. Answer pg. 1 at ¶ I; <https://www2.fmc.gov/oti/NVOCC.aspx>.

3. Claimant hired Respondent to deliver four shipments by air and four shipments by ocean from China to various destinations in the United States. Complaint pg. 1; Answer pg. 1.
4. Shipments 1, 6, 7, and 8 were delivered by air. R. Supp. Resp. pgs. 3-4.
5. Shipments 2, 3, 4, and 5 were delivered by ocean. R. Supp. Resp. pgs. 3-4.
6. Under the parties' arrangement the ocean shipments were to be taken to Respondent's warehouse upon arrival at the port and then delivered by UPS to the agreed ultimate destination. R. Supp. Resp. pg. 5 at no. 6; C. S4 Docs. Ex. 46; R. Supp. Att. 3 and 5.
7. According to the quotations, the ocean shipments would take "about 10 to 12 working days to extract," meaning that delivery of the goods would begin 10-12 working days after their extraction from the destination port. C.S2 and S3 Details pg. 1 at no. 7; C. S4 and S5 Details pg. 1 at no. 4; C. S2 and S3 Docs, Ex. 2 and 3; C. S4 and S5 Docs. Ex. 1 and 2; Answer at pg. 1, ¶ III; R. Supp. Resp. pg. 2; C. S4 and S5 Docs. Ex. 28 (Claimant stating that the shipments were supposed to be given to UPS upon their arrival at the destination port on August 24 and *their extraction* on August 31); R. Supp. Att. 3 and 5.
8. The quotations stated: "during the epidemic, the time limit may be delayed due to customs inspections, weather and epidemics." Respondent Supplemental Information pg. 2-3 (documents titled "Quotation of Shipment"); R. Supp. Att. 3 and 5.
9. The price quoted for the shipments included the fees for "pickup, clearance, tax and delivery, and insurance." C. S2, S3, S4, and S5 Docs, Ex. 2.
10. Respondent picked up all shipments from the manufacturer's factory on July 23, 2021. C. S2, S3, S4, and S5 Details pg. 1 at no. 6; C. S2, S3, S4, and S5 Docs Ex. 3.
11. Claimant sent 19 emails, 19 Alibaba messages and over 50 messages on WeChat to Respondent over a 45-day period through 9/5/2021, inquiring about her shipments. C. S2 Details pg. 2, at no. 17.
12. Respondent did not respond to most of the messages, finally responding on 9/3/2021, with an update on the status of the shipments. C. S2 and S3 Docs Ex. 27.
13. Respondent states:

Germozap's quotation mentions free insurance with purchase. However, due to a dispute just after the shipment of the goods, the insurance policy was not sent in time when the insurance was purchased at that time, and now we can only find the insurance policy purchased by the company for the entire container when sea DDP was in progress.

R. Supp. Resp. at pg. 2.

14. None of the ocean shipments sustained cargo loss or damage. C. Supp. Resp. pg. 3, at no. 5 (claiming loss of \$1,408 only for Shipment 8, shipped by air).
15. In total, Claimant paid \$15,544.18 for delivery of the ocean shipments. R. Supp. Resp. pg. 3-4.
16. Claimant filed disputes with Alibaba over the shipments but did not prevail. C. S4 and S5 Docs. Ex. 51, 65.

Shipments 2 and 3:

17. On 07/20/2021, Respondent quoted, and Claimant accepted its charges to deliver Shipment 2, containing 30 boxes by fast sea DDP door-to-door from the factory in Shenzhen to the Port of Long Beach and then by UPS truck to an Amazon Warehouse in Beloit, WI for charges for the amount of \$2,684.98, and Shipment 3, containing 8 boxes from the factory in Shenzhen by fast sea DDP to the Port of Long Beach and then by UPS truck to an Amazon warehouse in Castleton, NY for the amount of \$715.20. C. Supp. Resp. at pg. 1, no. 1; C. S2 Details at pg. 1; C. S2 Docs. Ex. 2, 3; R. Supp. Res. pg. 2; C. Supp. Resp. at pg. 1, no. 1; C.S3 Docs. Ex. 3; R. Supp. Resp. pg. 2 (Quotation Sheet); R. Supp. Att. 3.
18. Claimant paid \$2,684.98 shipping charges for Shipment 2 and \$715.20 shipping charges for Shipment 3. C. S2 and S3 Details pg. 1 at no. 2.
19. Respondent's house bill of lading for Shipment 2, B/L No. MATS4280273000, dated 7/29/2021, lists the shipper as the manufacturer's factory address in Zhejiang, China, the consignee as the Amazon warehouse address in Beiloi, WI, the container number as FLY0722KW30 containing, 30 cartons co-loaded in container number DFSU6378619 vessel name Matson Nihau, Port of Discharge, Los Angeles, Place of Delivery, US. R. Supp. Att. 1.
20. Respondent's house bill of lading for Shipment 3, B/L No. MATS4280273000, dated 7/29/2021, lists the shipper as the manufacturer's factory address in Zhejiang, China, the consignee as the Amazon warehouse address in Castleton, NY, the container number as FYW0722KW08 containing, 8 cartons co-loaded in container number DFSU6378619 vessel name Matson Nihau, Port of Discharge, Los Angeles, Place of Delivery, US. R. Supp. Att. 1.
21. The master bill of lading for Shipments 2 and 3, issued by Yiwu Juyi International Freight forwarding Co., Ltd. ("Yiwu Juyi"), B/L No. MATS4280273000/JY4280273 dated 07/30/2021, lists the shipper as Shenzhen Weichuangli Technology Co. Ltd, the consignee as Bestir Inc., the vessel as Matson Nihau/0128, the container number as DFSU6378619, CY to CY Port of Loading Shanghai and Place of Delivery Long Beach. R. Supp. Att. 1.
22. Cargo Transportation Insurance Policy No SVB51002212125545938, issued by Sunshine Property and Casualty Insurance Company Limited on July 30, 2021, insures B/L No.

MATS428027300, conveyed by Matson NIIHAU/012E in the amount of \$100000.00. R. Supp. Att. 4.

23. Shipments 2 and 3 were delivered on August 23, 2021. C. S2 and S3 Docs. Ex. 22 and 27; R. Supp. Resp. pg. 4 at no. 5.

Shipments 4 & 5:

24. On 07/20/2021, Respondent quoted and Claimant accepted its charges to deliver Shipment 4, containing 92 boxes of UVC lamp from a factory warehouse in Shenzhen by slow sea DDP to the Port of Los Angeles and then by UPS truck to an Amazon warehouse in Beloit, WI for the amount of \$6072.00, and Shipment 5, containing 92 boxes of UVC lamp from a factory warehouse in Shenzhen by slow sea DDP to the Port of Los Angeles and then by UPS truck to an Amazon warehouse in Carlisle, PA, also for the amount of \$6072. C. Supp. Resp. pg. 1 at no. 1; C. S4 and S5 Docs. Ex. 1-2; R. Supp. Resp. pg. 2 (Quotation Sheet); R. Supp. Att. 3.
25. Claimant paid shipping charges in the amount of \$6072.00 for Shipment 4 and \$6072.00 for Shipment 5. C. S4 and S5 Details pg. 1 at no. 2.
26. Respondent's house bill of lading for Shipment 4, B/L No. ZIMUNGB9733978, dated 8/3/2021, lists the shipper as the manufacturer's factory in Jiaying City, Zhejiang, China, the consignee as the Amazon warehouse in Beloit, WI, the container number as FYW0722WW92 containing 92 cartons, co-loaded in container number ZCSU7419215, vessel name Zim Kingston/8E, Port of Discharge, Los Angeles, Place of Delivery, US. R. Supp. Att. 1.
27. Respondent's house bill of lading for Shipment 5, B/L No. TJFH300590, dated 8/10/2021, lists the shipper as the manufacturer's factory in Jiaying City, Zhejiang, China, the consignee as the Amazon warehouse in Beloit, WI, the container number as FYW0722KK92 containing 92 cartons, co-loaded in container number TFLU4901572, vessel name Kimolos Trader/001EE, Port of Discharge, Los Angeles, Place of Delivery, US. R. Supp. Att. 1.
28. The master bill of lading for Shipment 5, issued by Worldwide Logistics Co., Ltd. ("Worldwide"), Combined Transport Bill of Lading No. WLC10808824, dated August 10, 2021, lists the shipper as Yiwu Micro Trading Co., Ltd, the consignee as Bestir Inc., the container number as TFLU4901572, the vessel name as Kimolos Trader 001E, Delivery CY to CY, Port of loading Ningbo, China and Port of Discharge and Place of Delivery Long Beach, CA. R. Supp. Att. 1.
29. Cargo Transportation Insurance Policy No SVB51002212126461142 issued by Sunshine Property and Casualty Insurance Company Limited on August 5, 2021, insures B/L No. ZIMUNGB9733978, conveyed by Zim Kingston/8E and Container No. FW0722KK92 in the amount of \$100,000.00. R. Supp. Att. 4 at pgs. 1-2.
30. In response to Claimant's inquiries regarding Shipments 4 and 5, Respondent stated:

Shipment 4+5:

FYW0722KK92 + FYW0722WW92:

Two regular sea DDPs are actually in order to help you catch up with the deadline. One of the shipments chooses the more expensive and faster ZIM for you, but the fees are charged according to Regular Due to the impact of the epidemic, port congestion at the destination port is serious, and they are delays within the market environment.

C. S4 and S5 Docs. Ex. 24.

31. Shipments 4 and 5 arrived at the port on August 16, 2021. Answer at pg.5- 6.
32. Due to congestion at the terminal, Shipment 4 “took 20 days to clear customs, pay taxes and queue up for pickup [of] the container,” while Shipment 5 could not be retrieved until October 4, 2021, when the shipping company notified the overseas warehouse that it had unloaded the container. Answer at pg. 5-7.
33. Shipment 4 arrived at the destination warehouse on Saturday September 3, 2021. C. S4 Docs. Ex. 25-27.
34. On Monday, 9/5/2021, Respondent sent a notation to Claimant with FYW0722KK92 and FYW0722WW92 listed at the top but with FYW0722WW92 (Shipment 4 container number) circled in red stating in pertinent part:

On Saturday, the customer service had sent an email to the USA warehouse for operation:

The 92 boxes that have arrived in the USA warehouse have been processed.

C. S5 Docs. Ex. 31 (emphasis in original).

35. After Shipments 4 and 5 arrived at the destination warehouse Claimant requested pick up of the container from the destination warehouse rather than the previously designated destination. Due to Claimant’s request to pick up Shipment 4 Respondent imposed a “Cancel label fee” of \$368; “Operation fee” of \$200; and “Deduction fee” of \$400, which it required Claimant to pay before pickup of Shipment 4. Respondent states with regard to the fees:

But when the goods arrive at the overseas warehouse, the Germozap changes the plan and needs to pick up from the overseas warehouse first. For the goods delivered by Sea and UPS, we generally, put all the goods delivered by UPS in the same container in China. After the goods arrive at the overseas warehouse, the entire container is handed over to UPS. But these two shipments temporarily changed the plan. The overseas warehouse needs to open the container, take out the goods from the container, and wait for the truck arranged by the Germozap to pick up. It will lead to extra work for overseas warehouses, which will incur costs.

These fees are paid to overseas warehouses together through monthly settlement. Operation fee: USD100 Deduction fee: USD200 [Take the goods out of the container and wait in the overseas warehouse.] In fact, we charged less according to the price on the quotation sheet. In the end, we delivered the goods to Germozap's warehouse for free, without charging fees, and without changing or canceling the original UPS delivery.

C. S4 and S5 Details pg. 3 at no. 23; C. S4 and S5 Docs. Ex. 29, 39, 46; R. Supp. Resp. pg. 5 at no. 6.

36. Between September 5, 2021, and September 9, 2021, Claimant and Respondent argued about the fees, with Claimant stating it would not pay the fees and Respondent insisting Claimant must pay the fees and commit not to dispute the fees to secure release of the shipment. C. S4 Details pg. 3 at no. 28; C. S5 Details pg. 4 at no. 35; C. S4 and S5 Docs. Ex. 30-49; R. Supp. Resp. pg. 5 at no. 6.
37. On 9/7/2021, Respondent stated that it would only collect the "warehouse rent" from Claimant. C. S4 and S5 Docs. Ex. 47.
38. On 9/9/2021, Claimant notified Respondent that it had paid Respondent's charges for warehouse rent in the amount of \$600. C. S4 and S5 Docs. Ex. 54.
39. On 9/10/2021, Respondent provided to Claimant the address of the warehouse where Claimant's shipments were being stored. C. S4 and S5 Docs. Ex. 60.
40. Respondent released Shipment 4 to Claimant on September 12, 2021. C. S5 Details. pg. 5 at no. 44; C S4 Docs. Ex. 66, 68.
41. Respondent released Shipment 5 to Claimant on October 5, 2021. C. S5 Details, pg. 5 at no. 45.

III. DISCUSSION

A. Controlling Authority

"It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission." *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, Docket No. 00-02, 29 S.R.R. 394, 396 (ALJ 2001). Thus, although lack of subject matter jurisdiction by the Commission was not raised as an issue by any party, the undersigned *sua sponte* raised the issue for determination when the evidence of record indicated that some of the shipments at issue were transported by air. "Lack of subject matter jurisdiction . . . cannot be waived. It may be raised at any time by a party to an action, or by the court *sua sponte*." *Bueford v. Resolution Trust Corp.*, 991 F.2d 481, 485 (8th Cir. 1993). *See also In re Ben Carter*, 618 F.2d 1093, 1100 (5th Cir. 1980) (stating that subject matter jurisdiction is limited by the Constitution and the Congress, and cannot be expanded by judicial interpretation or by the acts or consent of parties to a case).

Respondent is a registered NVOCC. An NVOCC is “a common carrier that does not operate the vessels by which the ocean transportation is provided and is a shipper in its relationship with ocean common carrier.” 46 U.S.C. § 40102(17). A registered NVOCC “means an NVOCC whose primary place of business is located outside the United States and who elects not to become licensed as an NVOCC, but to register with the Commission as provided in § 515.19, post a bond or other surety in the required amount, and publish a tariff as required by 46 CFR part 520.” 46 C.F.R. § 515.2(r). A “common carrier” is a person that –

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
 - (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
 - (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country
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46 U.S.C. § 40102(7). An NVOCC is a type of OTI. 46 U.S.C. § 40102(20).

Claimant alleges that Respondent violated section 41102(c) which provides that: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

To establish a successful claim for reparations under section 41102(c), the claimant must demonstrate that:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

B. Evidence and Burden of Proof.

“In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203.

Thus, a claimant alleging a violation of the Shipping Act bears the burden of proving its allegations against the respondent. The term, “burden of proof” is understood to mean “the burden of persuasion.” *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party bearing the burden of persuasion must prove its case by a preponderance of the evidence. *See Steadman v. SEC*, 450 U.S. 91, 102 (1981). When the party with the burden of persuasion produces sufficient evidence (characterized as a prima facie case), the burden of production shifts to the other party to produce evidence rebutting that case. *In re South Carolina State Ports Auth. for Declaratory Order*, 27 S.R.R. 1137, 1161 (FMC 1997). *See also Steadman*, 450 U.S. at 101 (“Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.”). When direct evidence is unavailable inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993). If the evidence produced by both parties is evenly balanced the party with the burden of persuasion will not prevail. *See Greenwich Collieries*, 512 U.S. at 281.

C. The Claim Pertaining to Shipments 1, 6, 7, and 8 are Dismissed for Lack of Jurisdiction.

Section 40102(7) defines a common carrier subject to the Commission’s jurisdiction in pertinent part as a person that “holds itself out to the general public to provide transportation **by water** of passengers or cargo between the United States and a foreign country for compensation.” 46 U.S.C. § 40102(7)(A)(i) (emphasis added). The Commission “cannot expand by its own regulations the power given to it by Congress, and the statutory definition of common carrier by water in foreign commerce remains as circumscription on the operation of [the Commission’s regulations].” *Austasia Intermodal Lines, Ltd. v. Federal Maritime Comm’n*, 580 F.2d 642, 646 (DC Cir. 1978); *accord, Transpacific Westbound Rate Agreement v. Federal Maritime Comm’n*, 951 F.2d 950, 954 (9th Cir. 1991) (“We agree with the District of Columbia Circuit that the definition of common carrier places limits on the Commission’s jurisdiction.”).

Here, the transportation of Shipments 1, 6, 7, and 8 occurred by air, not by water, thus Respondent was not acting as a common carrier subject to the Commission’s jurisdiction when it transported the shipments. In addition, the transportation of a shipment by air is not an activity subject to the Commission’s purview. The Commission thus lacks jurisdiction to adjudicate the complaint regarding their delivery. Accordingly, the claims concerning the shipments by air are dismissed with prejudice.

D. Claimant Fails to Demonstrate the Elements Required to Find a Violation of Section 41102(c) with Regard to the Remaining Shipments at Issue.

1. Criteria Required to Prevail in a Section 41102(c) Claim for Reparations

Claimant alleges that Respondent violated 41102(c) in connection with the delivery of Claimant’s shipments. Section 41102(c) prohibits common carriers, marine terminal operators, and OTIs from failing to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

To succeed in its claim for reparations, Claimant must demonstrate that : 1) Respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; 2) the alleged illegal conduct is “occurring on a normal, customary, and continuous basis;” 3) the alleged practice or regulation relates to or is connected with receiving, handling, storing or delivering property; 4) the alleged practice or regulation is unjust or unreasonable; and, 5) the alleged practice or regulation in question is the proximate cause of the loss Claimant alleges it suffered. *See* 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4(d).

As discussed in greater detail below, Claimant fails to demonstrate that Respondent acted unreasonably and that the alleged conduct is occurring on a normal, customary, and continuous basis.

a. Respondent is an Ocean Transportation Intermediary

Respondent Shenzhen Fly is a registered NVOCC. PF 2. The parties do not dispute this element. Accordingly, the first element to find a violation of section 41102(c) is demonstrated. 46 U.S.C. § 40102(20)

b. Claimant Fails to Prove that the Practice in Dispute is Unjust and Unreasonable

Claimant alleges that despite being aware that it needed the shipments on an expedited basis, Respondent failed to ship the goods as agreed, but instead used alternate, less expensive modes of transportation, with longer delivery times, knowing when it did so that the goods would not arrive by the agreed upon timeframe. Complaint at Pg. 2, ¶ IV. The evidence does not corroborate this allegation. The parties arranged for door-to-door delivery of Shipments 2 and 3, to be transported by Fast Sea DDP to the port and then by UPS truck from Respondent’s local warehouse to the amazon warehouses designated by Claimant. Shipments 4 and 5 were to be transported by Slow Sea DDP to the port and then by UPS truck from Respondent’s local warehouse to the amazon warehouses designated by Claimant. The evidence of record shows that Respondent picked up the shipments on July 23, 2021, co-loaded Shipments 2 and 3 (container numbers FLY0722KW30 and FYW0722KWO8) on July 30, 2021, with Yiwu Juyi, a registered NVOCC⁶ in container number DFSU6378619, transported by fast sea by Matson to the Port of Los Angeles on August 11, 2021, extracted from the port on August 15, 2021, and delivered to the designated amazon warehouses on August 23, 2021. While Shipment 2 was expected to arrive on August 19th, and Shipment 3 was expected to arrive on August 22nd, both shipments’ delivery on August 23rd was still within the “10-12 working days to extract” delivery period specified in the quotation for the shipments. PFs 7, 10, 19-21, 24; Shipments 2 and 3, Ex. 3.

Similarly, the evidence shows that Respondent co-loaded Shipment 4 (Container FYW0722WW92) in Container Number ZCSU7419215, transported by Zim Kingston/8E to the port of Los Angeles, while Shipment 5 (FYW0722KK92) was co-loaded with Worldwide, a

⁶ See <https://www2.fmc.gov/oti/NVOCC.aspx>.

registered NVOCC,⁷ in Container Number TFLU4901572 and transported by Kimolos Trader 001E to the port of Long Beach. PFs 26-28. Both shipments arrived at the port on August 16, 2021, earlier than the dates projected for their arrival, however, due to congestion at the terminals caused by the COVID-19 pandemic, it took longer to extract the shipments than projected and Shipment 4 arrived at the Respondent's local warehouse on September 3, 2021, while Shipment 5 arrived on October 5, 2021. PFs 31-34, 42.

The evidence demonstrates that Respondent transported the shipments as arranged. Although Claimant alleges that Respondent originally stated that the shipments would only take 10-12 working days to deliver but subsequently added the words "*to extract*," which Claimant failed to notice (Claimant Shipment 2 and 3 Details pg.1 at no. 8), the quotation received by Claimant nevertheless contains those terms. Any delay in the shipments' arrival at the warehouse resulted from congestion at the ports due to challenges associated with the COVID-19 pandemic, a factor not within Respondent's control. Claimant alleges that Respondent failed to substantiate its claim that the delays in delivery after the shipments arrived at port were caused by port congestion due to COVID. I take official notice that there were shipping delays due to port congestion caused by the COVID-19 pandemic. See, e.g., <https://www.fmc.gov/wp-content/uploads/2021/06/061021DyeTestimonyExecutiveSummary.pdf> (FMC Commissioner Dye Executive Summary of Fact Finding 29 in June 2021, discussing the COVID-19 impact on the global supply chain, stating that it has impacted freight flows and port operations.); [How covid-19 is disrupting shipping around the US | AJOT.COM](#) (American Journal of Transportation article in April 2022, discussing how the Coronavirus has disrupted global shipping, particularly ships coming from China); [COVID-19: shipping times double between China and the U.S. | World Economic Forum \(weforum.org\)](#) (World Economic Forum article in November 2021, discussing how shipping of goods from China to the U.S., which used to take 40 days now takes upwards of 70 days due to the Coronavirus pandemic).

Claimant makes a number of other allegations – that Respondent ignored its many messages asking about the status of its shipments; that Respondent's evidence only shows that a box from the 30 boxes in Shipment 2 was delivered; that Respondent did not purchase insurance for the shipments as required and did not offer proof of insurance coverage; that Respondent failed to provide bills of lading or other shipping information other than UPS tracking numbers; that Shipment 2 and 3 must have been shipped by slow sea rather than by Matson and must have arrived at a later date, contrary to the evidence submitted by Respondent and thus Respondent committed fraud; that Respondent committed fraud by transporting Claimant's shipments in another shipper's container; that Respondent acted unfairly when it imposed additional fees of \$600 when it sought to change the destination delivery address to its local warehouse which was a "negligible" distance from the port and held its shipments hostage until it paid an extra \$600 "warehouse fees" and committed not to dispute the fees; that because Respondent released Shipments 4 and 5 on different days it incurred two trucking costs to pick up the shipments on different days from Respondent's local warehouse to its own warehouse close by; and that Respondent lied to it and misled it on other occasions.

⁷See <https://www2.fmc.gov/oti/NVOCC.aspx>.

Most of Claimant's allegations are contradicted by the evidence of record. While Respondent only submitted the UPS tracking information for one box of the 30 boxes delivered for Shipment 2, the evidence indicates that all ocean shipments were delivered, and Claimant does not allege that any of these ocean shipments were missing. See, e.g., C. Supp. Resp. pg. 3, at no. 5 (claiming loss of \$1,408 only for Shipment 8 cargo, shipped by air); C. S2 and C3 Details pg. 2 at no. 13 (Claimant stating that "the goods finally arrived 8-24-21, which is 13 days late" but not claiming that any items were missing); C. S2 and S3 Docs. Ex. 22 (Email from Claimant to Respondent stating that Shipment 2 "was delivered August 23, 17 days late" but not claiming that any items were missing). Additionally, the \$600 fees Respondent imposed is consistent with its overseas warehouse charges quotation sheet. Respondent explains that it stores goods delivered by sea and UPS in the same container in China and the entire container is handed over to UPS. It states that because Claimant changed the delivery instructions to a different address the Overseas warehouse was forced to open the container, take out the goods, and wait for Germozap to pick them up, leading to extra work for the Overseas warehouse and the resulting additional costs. The \$100 operation and \$200 deduction fees per container imposed for the labor associated with unpacking the container and storing them in the warehouse pending their retrieval by Claimant is reflected in the Overseas warehouse services quotation list of fees and charges. See R. Supp. Resp. at pg. 6 and R. Supp. Att. 5. Claimant has not proven that the charges were illegitimate, or that the bills of lading provided by Respondent are fake or fraudulent, which is its burden to do under 46 C.F.R. § 502.203 ("the burden of proof is on the proponent of the motion or the order.")

The practice of co-loading a shipment, which Respondent did with other FMC-registered NVOCCs, is a legitimate and common practice that allows consolidation of shipments and makes delivery more efficient, and not an indication of fraud, as Claimant suggests. Respondent's explanation that it co-loaded Shipment 4 on a Zim vessel to upgrade the shipping without additional cost to Claimant in order to speed up its delivery is supported by the fact that although Shipment 4 and Shipment 5 arrived at port on the same day - August 16, 2021 - the Zim shipment was unloaded much faster, leading to its arrival at the destination warehouse by September 3, 2021, as opposed to Shipment 5, which was unloaded more than a month later, on October 4, 2021. This suggests that choice of the Zim vessel was more efficient. The additional fees Claimant incurred because it had to pick up the containers on different days resulted from Claimant's changing of the delivery instructions for the containers and the fact that they were processed for release on different days by the port.

Similarly, Respondent's claim that Shipments 2 and 3 were shipped by Matson and the dates it listed as their arrival dates, as well as its claim that it purchased insurance for the shipments is corroborated by the evidence of record. R. Supp. Att. 1 (containing the bills of lading for the shipments) and R. Supp. Att. 4 (containing the insurance documents). The record shows that Claimant sent Respondent 88 messages over a 45-day period inquiring about her shipments, communications between the parties becoming increasingly less civil as Claimant understandably grew more anxious about her shipments as the delays in delivery grew longer. See FF11; C. S2 Details pg.2 at no. 17. Since the delays were caused by slow processing of containers at the port, Respondent may not have had much information to relay.

While a failure by an OTI to provide pertinent shipping documents and to respond to a shipper's inquiries could constitute unreasonable conduct and could provide a basis for the

Commission to take action against an ocean transportation provider, the facts here do not support such a finding. Moreover, as discussed in greater detail below, to find a violation of section 41102(c) or to award reparations it must be demonstrated that the conduct was a consistent practice by the entity. Accordingly, Claimant fails to demonstrate that Respondent acted unjustly and unreasonably in the delivery of the shipments at issue and thus fails to demonstrate an element required to find a section 41102(c) violation.

c. The Practice in Dispute Relates to or is Connected with Receiving, Handling, Storing, or Delivering Property

Claimant's complaint concerns Respondent's conduct in connection with the delivery of Claimant's cargo from China to various destinations in the United States. The parties do not dispute this element. The element requiring that the practice in dispute be related to or connected with receiving, handling, storing, or delivering property is thus demonstrated.

d. The Evidence does not Demonstrate that the Alleged Conduct is Occurring on a Normal, Customary, and Continuous Basis

Respondent's claims involve allegations of unjust and unreasonable conduct by Respondent related to Claimant's shipments picked up for delivery on July 23, 2021. Claimant has not provided any evidence indicating similar conduct by Respondent with regard to other shipments or other occasions that would suggest that the alleged conduct was Respondent's customary practice.

The Commission has stated that "finding a section [41102(c)] violation based on a single act or omission, is inconsistent with the original intent of Congress, the rules of statutory construction, and Commission precedent. Properly interpreted, § 41102(c) applies to acts or omissions that occur on a normal, customary, and continuous basis." *Ngobros and Co. Nigeria v. Ocean Cargo Link, LLC*, FMC Docket No. 14-15, 2019 FMC LEXIS 85, at *4 (FMC 2019) (internal citations omitted). In *Hangzhou*, the Commission affirmed the administrative law judge's finding that the respondent's release of three shipments on three different occasions over the course of two months to the same consignees without obtaining the original bill of lading as required, or authorization from the claimant, was not sufficient to demonstrate that the conduct was occurring on a normal, customary, and continuous basis. *Hangzhou Qianwang Dress Co., Ltd v. RDD Freight Int'l, Inc.*, FMC Docket No. 17-02, 2020 FMC LEXIS 192, at *7 (FMC 2020). Similarly, in *Crocus*, the Commission stated:

Commission precedent has made clear that a single shipment or isolated act or omission does not show a pattern or practice. An "occasional transaction" or isolated act is not a "practice." Two or three incidents over a short time period are not enough to show that the conduct in question is an entity's normal and customary practice. Even six instances of "unreasonable conduct" carried out over a period of several months involving the same entities have been ruled insufficient to prove that conduct was "uniform or continuous."

Crocus Investments, LLC v. Marine Transp. Logistics, Inc., FMC Docket No. 15-04, 2021 FMC LEXIS 125, at *14 – 15 (FMC 2021) (internal citations omitted). Thus, even if Claimant had

proven that Respondent's conduct was unjust and unreasonable, Claimant would still not be able to prove a violation of section 41102(c) because it has not been demonstrated that this was Respondent's normal practice.

e. The Practice is the Proximate Cause of the Loss Suffered by Claimant

Claimant alleges that it incurred additional costs due to the necessity to pay advertising costs when the shipments failed to timely arrive, resulting in the depletion of its supplies and a lower ranking on Amazon. However, since Claimant fails to demonstrate that Respondent's conduct caused the delay in arrival of the goods, the evidence does not support a finding that Respondent's actions caused the loss suffered by Claimant. Therefore, this element is also not met.

IV. CONCLUSION

Claimant Germozap fails to demonstrate that Respondent Shenzhen Fly violated section 41102(c) of the Shipping Act of 1984, 46 U.S.C. § 41102(c). Accordingly, it is hereby **ORDERED** that Claimant's request for reparations be **DENIED** and its complaint be **DISMISSED WITH PREJUDICE**.



Theresa Dike
Small Claims Officer